

her debt. She could have paid them back interest free on a payment schedule she could handle. This lingering debt would have served as a reminder of what can happen when credit is not used wisely. Hopefully Christi would then have learned a valuable lesson.

Remember these simple rules regarding credit usage:

1. One or two (at the most) major credit cards is all you need to build a credit history.
2. Set your own credit line/limit. Recommendation—\$500 and not more than \$1,000.
3. Pay your bills on time.
4. You can build a credit history without carrying an unpaid balance.
5. If you must carry a balance, always pay as much as you can afford each month and try to pay it off within three months.

A Degree in Debt

Credit cards are not the only source of money that needs to be managed wisely in college; student loans and scholarship money can be equally as dangerous. It has become a reality that most students will need to receive financial aid during college since many of their parents have not saved enough to cover all of the costs. In fact, a quarter (26 percent) of parents who say they expect to pay for some or all of their child's college education say they have saved less than \$5,000 and a third (32 percent) haven't saved anything specifically for that purpose, according to a poll by Harris Interactive, 2006. This represents only one year of the total cost of attending public universities and only about 6 percent of the cost of private colleges.

